

|                                                                   |                                                            |
|-------------------------------------------------------------------|------------------------------------------------------------|
| <b>Document Control</b>                                           |                                                            |
|                                                                   |                                                            |
| <b>Title</b>                                                      | Policy on Outsourcing                                      |
|                                                                   |                                                            |
| <b>Policy Owner</b>                                               | Compliance Department                                      |
|                                                                   |                                                            |
| <b>Tentative next review</b>                                      | On any Regulatory change or Annually, whichever is earlier |
|                                                                   |                                                            |
| <b>Date of circulation to relevant stakeholder after approval</b> | 06/11/2023                                                 |

| Version No | Date of review | Reviewed by<br>[Name and<br>Signature] | Checked by<br>[Name and<br>Signature] | Approved by<br>[Name and<br>Signature] | Adopted on<br>[Date] |
|------------|----------------|----------------------------------------|---------------------------------------|----------------------------------------|----------------------|
|            |                | Preeti Sethi                           | Aditya Kanoria                        | Board                                  |                      |
|            |                |                                        |                                       |                                        |                      |
|            |                |                                        |                                       |                                        |                      |

This document is the sole property of Invicto Trust and its Investment Manager entity i.e., Credent Asset Management Services Private Limited. Access to this document by anyone else is unauthorized. Any use, distribution, printing, dissemination, copying or other use of this document by any other person is strictly prohibited and may be illegal.

## Contents

|     |                                    |    |
|-----|------------------------------------|----|
| 1.  | TITLE _____                        | 3  |
| 2.  | OBJECTIVE _____                    | 3  |
| 3.  | REGULATORY BACKGROUND _____        | 3  |
| 4.  | APPLICABILITY _____                | 4  |
| 5.  | IMPLEMENTATION / PROCESS _____     | 4  |
| 6.  | RESPONSIBILITY _____               | 10 |
| 7.  | VIOLATION _____                    | 13 |
| 8.  | POLICY REVIEW _____                | 13 |
| 9.  | DEVIATION TO FRAMEWORK _____       | 13 |
| 10. | POWER TO REMOVE DIFFICULTIES _____ | 13 |
| 11. | EFFECTIVE DATE _____               | 11 |

## 1. Title

Policy on Outsourcing ("Policy").

## 2. Objective

Securities and Exchange Board of India (SEBI) Regulations for various intermediaries require that the intermediaries shall always render high standards of service and exercise due diligence and ensure proper care in their operations. The risks associated with outsourcing may be operational risk, reputational risk, legal risk, country risk, strategic risk, exit-strategy risk, counter party risk, concentration and systemic risk. In order to address the concerns arising from the outsourcing of activities by intermediaries based on the principles advocated by the IOSCO (International Organization of Securities Commissions) and the experience of Indian markets, SEBI has issued circular no. CIR/MIRSD/24/2011 dated December 15, 2011, giving Guidelines on Outsourcing of Activities by Intermediaries.

The Policy aims to have a structured approach for efficiently identifying a business opportunity that needs to be outsourced and effectively turning it into low risk, low cost, scalable and high service deliverables within regulatory framework. The Policy shall cover activities or the nature of activities that can be outsourced, the authorities who can approve outsourcing of such activities and the selection of Service Provider to whom it can be outsourced. Policy would be effectively used for reviewing a new contract / amending an existing contract on outsourcing of activities by Credent Asset Management Services Private Limited.

## 3. Regulatory Background

- 3.1. Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012
- 3.2. SEBI circular no. CIR/MIRSD/24/2011 dated December 15, 2011- Guidelines on Outsourcing of Activities
- 3.3. SEBI Master Circular no. SEBI/HO/AFD-1/AFD-1-PoD/P/CIR/2024/39 dated May 7, 2024 on "Master Circular for Alternative Investment Funds (AIFs)"

#### 4. Applicability

This Policy is applicable to Invicto Trust (AIF) (herein after known as “Fund”) which is registered with SEBI.

#### 5. Implementation / Process

##### 5.1. DEFINITION OF ‘OUTSOURCING’:

Outsourcing may be defined as the use of one or more than one third party – either within or outside the group – by a SEBI registered intermediary to perform the activities associated with the services which the intermediary offers.

##### 5.2. SCOPE:

This Policy will be applicable for all contracts/agreements to be entered for the purpose of outsourcing of activities by Investment Manager to any third party (“Service Provider”) entered for this purpose.

##### 5.3. Guidelines need to be followed by Investment Manager while considering a proposal to outsource any activity:

SEBI vide circular no. CIR/MIRSD/24/2011 dated December 15, 2011 has laid down certain principles for Outsourcing of activities by the Intermediaries. Based on those principles, the following guidelines need to be followed by the Fund while considering a proposal to outsource any activity:

**5.3.1. Principal responsibility:** The Directors of the Investment Manager shall have the principal responsibility of the Policy, activities undertaken under the Policy and to ensure that all the activities are carried out as per the Policy.

**5.3.2. Nature of activities that can be outsourced:** Except the core business activities i.e., execution of orders, risk management including monitoring of trading activities in case of stock brokers; dematerialisation of securities in case of depository participants; investment related activities in case of AIF and the Compliance related activities including reporting of

any suspicious transactions/reports to Financial Intelligence Unit (FIU) or any other competent authority in respect of activities carried out by the Service Provider, all other activities of the Fund can be outsourced post a detailed analysis.

**5.3.3. Risk Management:** Please refer to the section “Risk Assessment” under point no. 5.5 of the Policy.

**5.3.4. Periodic review:** Each outsourcing arrangement shall be reviewed at least once every three years and the list will be placed before the meeting of the Board of Directors of the Investment Manager.

**5.3.5. Accountability and liability:**

**5.3.5.1.** Investment Manager shall be fully liable and accountable for the activities that are outsourced.

**5.3.5.2.** Investment Manager shall ensure that outsourcing arrangement shall neither diminish its ability to fulfil its obligation to any regulator, nor impede effective supervision by regulator/auditors.

**5.3.5.3.** Outsourcing arrangements shall not affect the rights of an investor or client against the Fund in any manner. The Investment Manager shall be liable to the investors for the loss incurred by them due to the failure of the third party and be responsible for redressal of the grievances received from investors arising out of activities rendered by the Service Provider.

**5.3.5.4.** The facilities / premises / data that are involved in carrying out the outsourced activity by the Service Provider shall be deemed to be those of the Fund. Investment Manager and SEBI or the persons authorized by it shall have the right to access the same at any point of time.

**5.3.5.5.** The outsourcing arrangements shall not impair the ability of SEBI or auditors to exercise their regulatory responsibilities such as supervision inspection of the Fund.

**5.3.6. Outsourcing to Group entity / Associate:** An activity can be outsourced to a group entity / Associate subject to the following: -

**5.3.6.1.** Arm's length distance is ensured in terms of infrastructure, manpower, decision-making, record keeping etc. for avoidance of potential conflict of interest.

**5.3.6.2.** The contractual agreement shall contain the necessary disclosures to that effect.

**5.3.6.3.** The risk management system/measures shall remain constant vis-à-vis non-group/associate entities.

**5.3.7. Record keeping:** Records relating to all outsourced activities shall be maintained centrally so that they are readily accessible to the Director, Compliance Officer and the senior management of Investment Manager for review, as and when required. The diligence records of the Service Provider shall be regularly updated.

**5.3.8. Audits:** The internal or external auditors of Investment Manager shall periodically review the outsourcing policy, risk management systems on outsourcing and regulatory requirements as part of their mandate.

**5.3.9. Contractual arrangement:** The Outsourcing arrangements shall be governed by a clearly defined and legally binding written contract between Investment Manager and each of the concerned "Service Provider". The Investment manager shall ensure that the contract includes terms given in point no. 5.6 of the Policy.

**5.3.10. Disaster Recovery ("DR") and Business Continuity Plan ("BCP"):**

**5.3.10.1.** Investment Manager and each of the Service Providers shall have independent and adequate DR and BCP systems in place.

**5.3.10.2.** Special attention should be on Information Technology (IT) security and data backup.

**5.3.10.3.** Periodic review should be done by Investment Manager of the said DR and BCP systems to confirm the adequacy of Investment Manager as well as the Service Provider's systems.

**5.3.10.4.** Periodic tests of the critical security procedures and systems and review of the back-up facilities of the Service Provider by Investment Manager to confirm the adequacy of the Service Provider's systems.

**5.3.10.5.** Specific contingency plans shall be separately developed for each outsourcing arrangement by Investment Manager.

**5.3.10.6.** Investment Manager shall take appropriate steps to assess and address the potential consequence of a business disruption or other problems at the level of the Service Provider.

**5.3.11. Confidentiality:** The Service Providers Agreement shall pay specific attention to the process of handling of confidential information of Investment Manager from intentional or inadvertent disclosure to unauthorized persons by the Service Providers. Investment Manager shall prevail upon the Service Provider to ensure that the employees of the Service Provider have limited access to the data handled and only on a “need to know” basis and the Service Provider shall have adequate checks and balances to ensure the same. Special attention on confidentiality is required in cases where a Service Provider handles multiple intermediaries.

**5.3.12. Concentration at few Service Providers:** In instances, where the Service Provider acts as an outsourcing Service Provider for multiple intermediaries, Service Provider and Investment Manager to ensure that strong safeguards are put in place so that there is no co-mingling of information/documents, records and assets.

#### **5.4. Principles on outsourcing:**

**5.4.1.** An intermediary shall ensure that outsourcing arrangements neither diminish its ability to fulfil its obligations to customers and regulators, nor impede effective supervision by the regulators.

**5.4.1.1.** The intermediary shall be fully liable and accountable for the activities that are being outsourced to the same extent as if the service were provided in-house.

**5.4.1.2.** Outsourcing arrangements shall not affect the rights of an investor or client against the intermediary in any manner. The intermediary shall be liable to the investors for the loss incurred by them due to the failure of the third party and also be responsible for

redressal of the grievances received from investors arising out of activities rendered by the third party.

- 5.4.1.3.** The facilities / premises / data that are involved in carrying out the outsourced activity by the service provider shall be deemed to be those of the Investment Manager. The intermediary itself and Regulator or the persons authorized by it shall have the right to access the same at any point of time.

**5.4.2. The intermediary shall conduct appropriate due diligence in selecting the third party and in monitoring of its performance.**

The due diligence undertaken by an intermediary shall include assessment of:

- 5.4.2.1.** Third party's resources and capabilities, including financial soundness, to perform the outsourcing work within the timelines fixed;
- 5.4.2.2.** compatibility of the practices and systems of the third party with the intermediary's requirements and objectives;
- 5.4.2.3.** market feedback of the prospective third party's business reputation and track record of their services rendered in the past;
- 5.4.2.4.** level of concentration of the outsourced arrangements with a single third party; and
- 5.4.2.5.** the environment of the foreign country where the third party is located

**5.4.3. Outsourcing relationships shall be governed by written contracts / agreements / terms and conditions (as deemed appropriate) {hereinafter referred to as "contract"} that clearly describe all material aspects of the outsourcing arrangement, including the rights, responsibilities and expectations of the parties to the contract, client confidentiality issues, termination procedures, etc.**

Care shall be taken to ensure that the outsourcing contract:

- 5.4.3.1.** clearly defines what activities are going to be outsourced, including appropriate service and performance levels;
- 5.4.3.2.** provides for mutual rights, obligations and responsibilities of the intermediary and the third party, including indemnity by the parties;



- 5.4.3.3.** provides for the liability of the third party to the intermediary for unsatisfactory performance/other breach of the contract
- 5.4.3.4.** provides for the continuous monitoring and assessment by intermediary of the third party so that any necessary corrective measures can be taken up immediately, i.e., the contract shall enable the intermediary to retain an appropriate level of control over the outsourcing and the right to intervene with appropriate measures to meet legal and regulatory obligations;
- 5.4.3.5.** includes, where necessary, conditions of sub-contracting by the third-party, i.e. the contract shall enable intermediary to maintain a similar control over the risks when a third party outsources to further third parties as in the original direct outsourcing;
- 5.4.3.6.** has unambiguous confidentiality clauses to ensure protection of proprietary and customer data during the tenure of the contract and also after the expiry of the contract;
- 5.4.3.7.** specifies the responsibilities of the third party with respect to the IT security and contingency plans, insurance cover, business continuity and disaster recovery plans, force majeure clause, etc.;
- 5.4.3.8.** provides for preservation of the documents and data by third party;
- 5.4.3.9.** provides for the mechanisms to resolve disputes arising from implementation of the outsourcing contract;
- 5.4.3.10.** provides for termination of the contract, termination rights, transfer of information and exit strategies;
- 5.4.3.11.** addresses additional issues arising from country risks and potential obstacles in exercising oversight and management of the arrangements when intermediary outsources its activities to foreign third party. For example, the contract shall include choice-of-law provisions and agreement covenants and jurisdictional covenants that provide for adjudication of disputes between the parties under the laws of a specific jurisdiction;
- 5.4.3.12.** neither prevents nor impedes the intermediary from meeting its respective regulatory obligations, nor the regulator from exercising its regulatory powers; and
- 5.4.3.13.** provides for the intermediary and /or the regulator or the persons authorized by it to have the ability to inspect, access all books, records and information relevant to the outsourced activity with the third party

## 5.5. Risk assessment

A risk impact assessment based on different risk parameters shall be done on the following grounds:

- 5.5.2. The scope and materiality of outsourced activity;
- 5.5.3. Failure of a Service Provider to adequately perform the activity on the financial, reputational and operational performance of Investment Manager;
- 5.5.4. Suitable back-up arrangements by Investment Manager to cope up with the work, in case of non-performance or failure by an Service Provider;
- 5.5.5. Regulatory status of the Service Provider, including its fitness and probity status;
- 5.5.6. Situations involving conflict of interest between Investment Manager and the Service Provider and the measures put in place by Investment Manager to address the same.

## 5.6. Comparison & Evaluation/Due Diligence of Service Providers:

Investment Manager shall conduct appropriate due diligence in selecting the Service Provider and in monitoring of its performance. The due diligence undertaken shall include assessment of:

- 5.6.1. Service provider's resources and capabilities, including financial soundness and operational competence, to perform the outsourcing work within the timelines fixed;
- 5.6.2. Compatibility of the practices and systems of the Service Provider with Investment Manager requirements and objectives;
- 5.6.3. Market feedback of the prospective Service Provider's business reputation and track record of their services rendered in the past;
- 5.6.4. Level of concentration of the outsourced arrangements with a single Service Provider; and
- 5.6.5. The environment of the foreign country where the Service Provider is located.

## 6. Responsibility

The Compliance officer will be responsible for implementation and supervision of this Policy.

## 7. Violation

If anyone is found in violation of this Policy, he/she will be liable for appropriate action by appropriate authority.

#### **8. Policy Review**

This Policy shall be reviewed as and when there are any regulatory changes introduced or as and when it is found necessary to change the Policy due to business needs. However, Policy shall be reviewed at least annually. The Board of Directors of Investment Manager will be approving authority for the Policy

#### **9. Deviation to Framework**

Deviations to the Policy on account of regulatory changes shall be approved by the Board of Directors of Investment Manager; all other deviations shall be approved by either Board of Directors of Investment Manager or Managing Director / equivalent authority and Compliance officer of the Fund.

#### **10. Power to Remove Difficulties**

In order to remove any difficulties in the application or interpretation of this Policy, the Compliance Officer of Investment Manager shall have the power to issue clarifications.

#### **11. Effective Date**

This Policy shall supersede existing policy on subject matter and will be effective from the launch of the Fund

**Date:** 06/11/2023